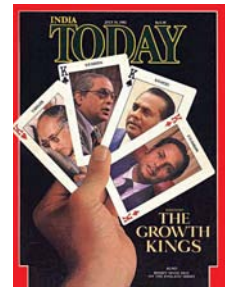
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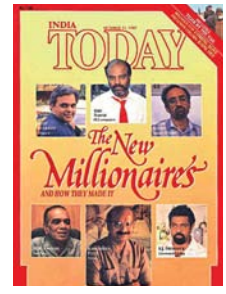
EDITOR-IN-CHIEF

When we think of Indian tycoons, we imagine them to have made their fortunes in the 'Big City'. In the glass-and-chrome megascape of Bengaluru, the buzzing financial nerve centre of Mumbai, or even the hypermodernity of Gurugram. But that does not quite match the reality, as the 2022 Hurun India Rich List, prepared by the Indian arm of the UK-based research group, reveals. The list, released recently, indicates India's Rich, or those whose net worth exceeds Rs 1,000 crore, has grown ten-fold to 1,036 individuals in the past decade alone. The other striking development is that as many as 178 of the businessmen on that list—constituting 17 per cent of the total—are based in over 60 of India's smaller cities and towns.

They come from places that may surprise you: Ajmer in Rajasthan, Udupi in Karnataka, Indore in Madhya Pradesh, Surat in Gujarat, Thrissur in Kerala, and Bhubaneswar in Odisha, to name just a few. Taken together, these self-made entrepreneurs generated a total wealth of Rs 6.37 lakh crore as of March 2022, higher than India's defence budget of Rs 5.25 lakh crore for 2022-23. Their profiles make for a richly variegated but consistently interesting canvas. Their entrepreneurial instinct is unmissable, and they can take significant risks in business even while confining themselves to smaller towns. The Patni brothers of Kishangarh near Ajmer, for instance, were quick to sense a business opportunity in mining marble, making a shift from their traditional business of wholesale trading in foodgrains to set out on a journey that has made them the largest producers of marble in the world, exporting to 75 countries. Today, just their cement business gives them a net worth of Rs 7,200 crore. In Thiruvananthapuram, V.K. Mathews of IBS Software resorted to aggressive inorganic growth, acquiring seven global companies in 25 years to become a leading name in offering travel solutions, with a net worth of Rs 3,600 crore. Bhubaneswar's Tara Ranjan Patnaik, a law graduate, ventured into the marine exports business, and today has an annual turnover of Rs 2,800 crore. The Virani brothers of Rajkot, promoters of the high-recall snacks brand Balaji Wafers, set up an extensive distribution network that today covers 40 per cent of the country, giving them a combined worth of Rs 9,200 crore.



July 31, 1982



October 31, 1987

Yet others made a leap of faith and invested in the latest technology, aided by small bank loans. Madhukar S. Kamath of Udupi's Abharan Jewellers was one of the first in India to import a gold testing machine to ensure the purity of the metal to convince customers of the quality of the yellow metal he sold. Many have taken advantage of supportive state and central policies. Satyanarayan Nuwal, whose Solar Industries in Nagpur is the world's fourth largest industrial explosives manufacturer and India's top exporter of the product, is riding on the Centre's Make in India thrust in the defence sector to make warheads for the Indian military's Agni and Pinaka missiles. Educated only till Class 10, Nuwal currently employs 7,500 people, including several PhD holders, and is worth Rs 14,700 crore. For many, it was sheer hard work against all odds. Govind Laljibhai Dholakia of Shree Ramkrishna Exports started off his career polishing diamonds in Surat when he was just 13. Within six years, though, he launched his own venture, along with two partners, and it has now become one of India's largest companies in the diamonds business, with a turnover of Rs 16,000 crore in 2021-22. His net worth stands at Rs 4,800 crore. Then there are those like Alakh Pandey, just 30 years of age and hailing from Prayagraj in Uttar Pradesh. He took up tuition classes to meet his college fees while studying engineering. His style of teaching Physics became so popular that he dropped out of the course and started a YouTube channel called "PhysicsWallah" and taught students online. His current net worth is 4,000 crore.

Many of these entrepreneurs are also symbolic of a broader phenomenon. Experts attribute the rise of small cities and towns outside the traditional arc of commerce to the springing up of education centres across India because of our rapid urbanisation. As many as 230 such education hubs emerged across India post-liberalisation in the early 1990s. There are as many as 3,000 incubation centres across India, helping new businesses stand independently. The mushrooming of professional colleges and technical institutes in small towns has also skilled the population, making it possible for companies to set up world-class manufacturing facilities in far-flung places without worrying about acquiring talent from the IITs and IIMs alone. Their location enables them to own massive stretches of land at a much lower price than in more prominent cities and become big job creators. They have transformed the small towns they work and live in by attracting more investments in schools, malls, healthcare facilities and infrastructure. Private equity players seek them out to back new enterprises in their backyards. Small towns also promise cheaper living costs for their staff, cleaner air, and a better work-life balance, considering that their daily commute is much shorter than for those in the big cities.

These individuals are markers of a changing India. They are not aberrations but symbols of alternative magnets that are attracting the best in the business to stay put in smaller towns and carve a niche for themselves rather than find their fame and fortune in megapolises. According to a 2020 survey by the Economist Intelligence Unit, the fastest-growing urban zone in the world was a place you may not have heard of: Malappuram in Kerala. The South's predominance in leading the small-town boomers is evident. "Good to see that the fastest growing in India is not the monster metropolises, Mumbai, Delhi, Kolkata etc," industrialist Anand Mahindra had tweeted then. "When smaller towns and cities grow, it signals that a wider distribution of wealth and job opportunities is underway. We need more smaller towns to Rise!"

As Executive Editor M.G. Arun and our national bureau fanned out to talk to these new wealth creators, they found highly divergent stories—but with a commonality. "India is seeing a very exciting phase, where innovation is moving deeper into the country, beyond the metros and Tier I cities," says Vikram Gandhi, a senior lecturer at the Harvard Business School who co-founded Asha Ventures, a platform for high-net-worth individuals. They are fulfilling the dire need for India to shift wealth generation away from its collapsing and polluted cities and to cash in on the enormous potential that smaller towns hold. More businesses need to be encouraged to build such unique playbooks and, maybe a decade from now, a majority of India's rich will come from towns you rarely hear of.



(Aroon Purie)